Practice workbook · Equilibrium, excess demand and excess supply

How equilibrium price and quantity are set, what excess supply and excess demand are, and how price adjusts to remove them.

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-11

1. Question 3 · part d · 6 marks

2021 JUN · Paper 01

Worked-example retry · Attempt part d only.

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3 (a) Which **one** of the following factors may cause a shift of the demand curve?

(1)

- ☒ **A** Costs of production
- ☒ **B** Demographic changes
- ☒ **C** Subsidies
- ☒ **D** Changes in price

(b) Which **one** of the following is an example of an external cost?

(1)

- ☒ **A** Healthcare
- ☒ **B** Litter
- ☒ **C** Rent
- ☒ **D** Weather

(c) On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing economy such as Haiti.

(3)

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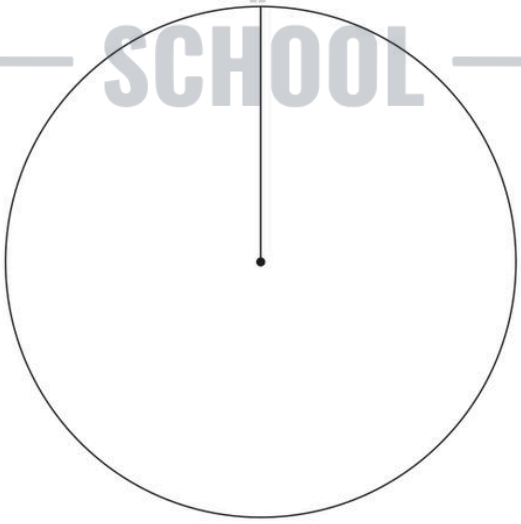


Figure 3

1. Question 3 · part d · 6 marks

2021 JUN · Paper 01

Worked-example retry · Attempt part d only.

In the capital of Laos, Vientiane, residents and tourists can now use the LOCA app to hire a taxi. Figure 4 shows the excess supply of LOCA drivers working in an area of the city when the price of a journey is 10 000 Kip.

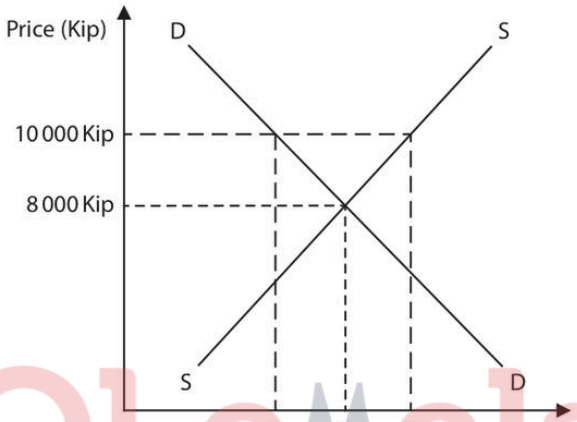


Figure 4

(d) With reference to the data above and your knowledge of economics, analyse how market forces can remove excess supply.

(6)

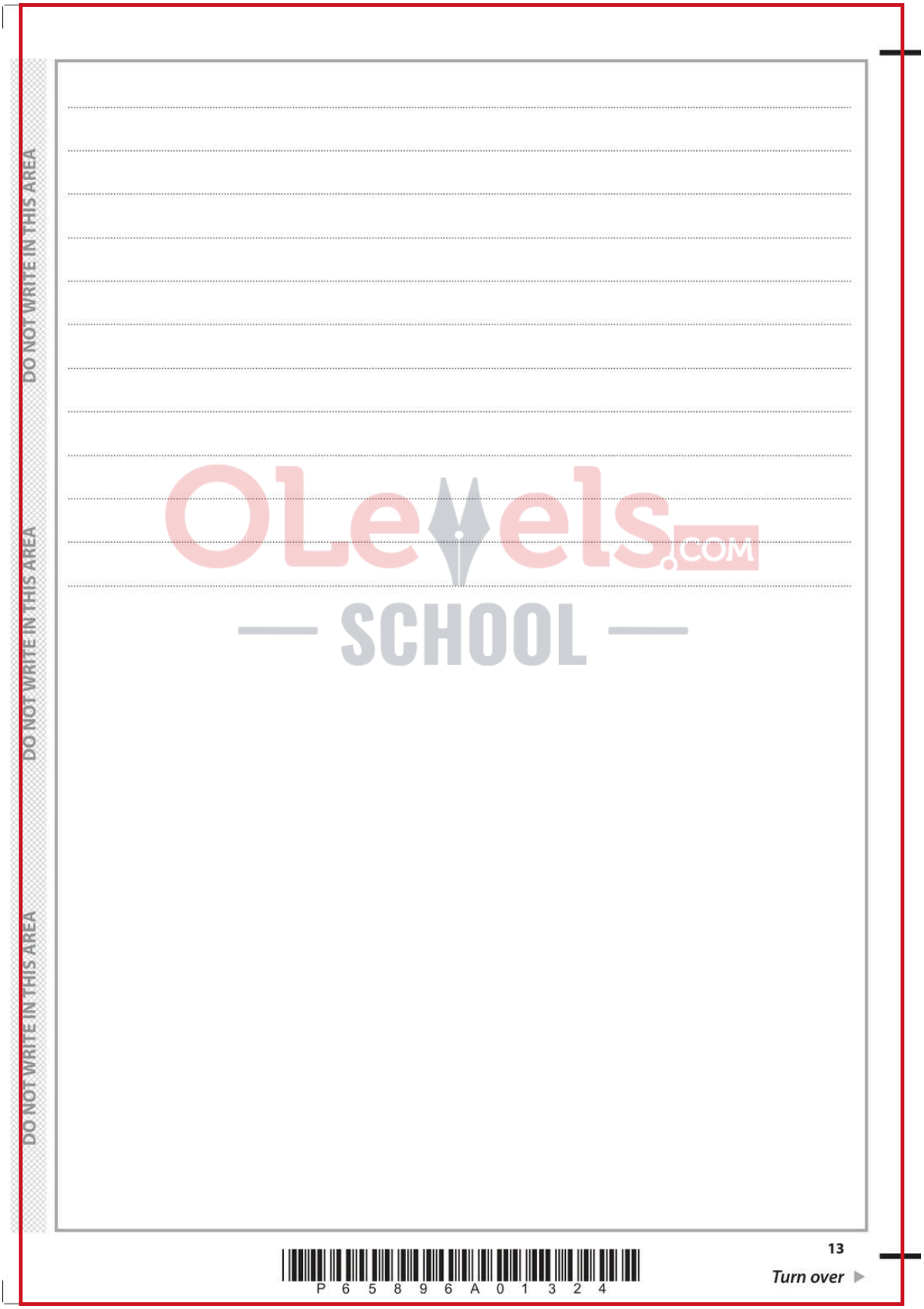
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1. Question 3 · part d · 6 marks

2021 JUN · Paper 01

Worked-example retry · Attempt part d only.



1. Question 3 · part d · 6 marks

2021 JUN · Paper 01

Worked-example retry · Attempt part d only.

Public universities in Norway do not charge students any tuition fees. Education is funded by the government. In recent years Norway has spent more on education than any other country as a percentage of GDP. Norway also has one of the lowest rates of unemployment in the world.

(e) With reference to the data above and your knowledge of economics, assess the benefits to Norway of the government funding all education.

(9)

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1. Question 3 · part d · 6 marks · Working and answer

Working and answer

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2. Question 2 · part a · 1 mark

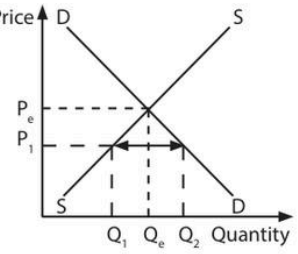
2020 JAN · Paper 01 (regional R)

Further practice · Attempt part a only.

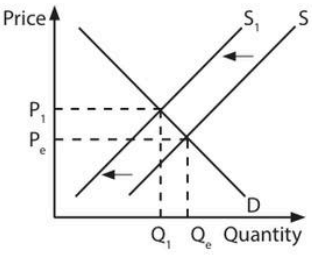
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

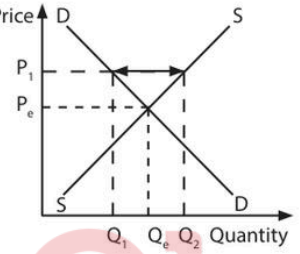
☒ **A**



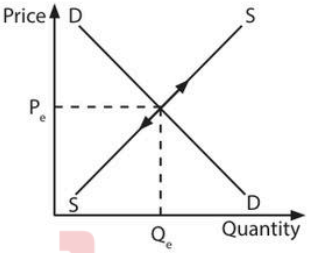
☒ **B**



☒ **C**



☒ **D**



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P 5 8 2 7 6 A 0 8 2 8

2. Question 2 · part a · 1 mark

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Further practice · Attempt part a only.

(b) Which **one** of the following is most likely to create a barrier to entry?

(1)

- ☒ **A** Government provides subsidies for new firms
- ☒ **B** Increasing personal incomes in the economy
- ☒ **C** Low start-up costs
- ☒ **D** Use of expensive technology

(c) Calculate the **price elasticity of demand (PED)** for a product if price falls by 10% and quantity demanded increases by 19%. You are advised to show your working.

(2)

(d) State the formula for social benefits.

(1)

(e) Define the term consumer.

(1)

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2. Question 2 · part a · 1 mark · Working and answer

Working and answer

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3. Question 2 · part a · 1 mark

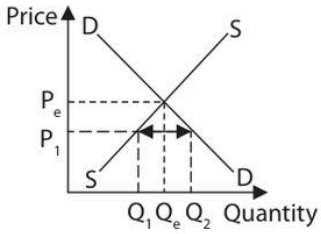
2020 JAN · Paper 01

Further practice · Attempt part a only.

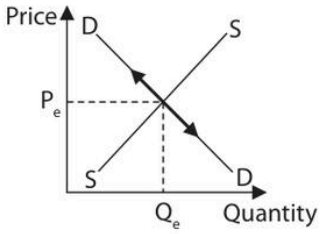
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

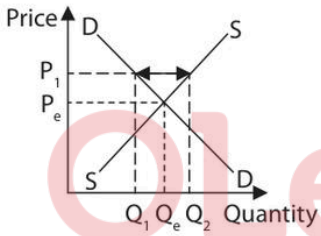
☒ **A**



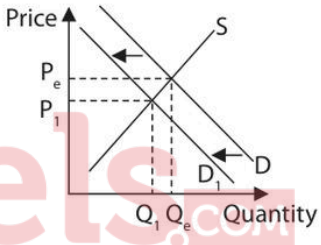
☒ **B**



☒ **C**



☒ **D**



(b) Land can be described as which **one** of the following?

(1)

☒ **A** A diseconomy of scale

☒ **B** A factor of production

☒ **C** A variable cost

☒ **D** A market failure

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P 5 9 9 6 3 A 0 7 2 4

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Turn over ▶

3. Question 2 · part a · 1 mark · Working and answer

Working and answer

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4. Question 4 · part b · 6 marks

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Further practice · Attempt part b only.

4 Figure 4 shows the Production Possibility Curve (PPC) for an economy making capital goods and consumer goods.

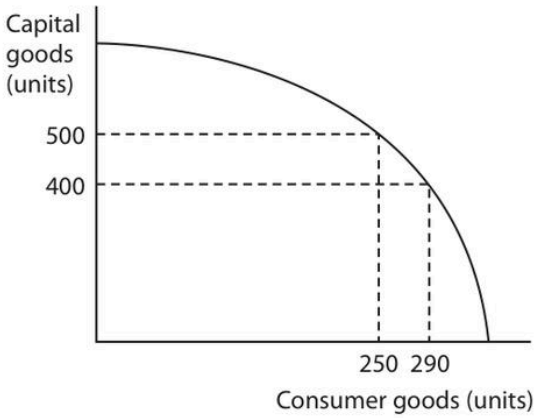


Figure 4

(a) When the current level of output is 250 units of consumer goods, calculate the **opportunity cost** of producing an additional 40 units of consumer goods. You are advised to show your working. **(2)**

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4. Question 4 · part b · 6 marks

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Further practice · Attempt part b only.

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A tagine is a type of cooking pot which is used to make meals throughout Morocco. Almost every home in Morocco has one. They have also become an increasingly popular purchase for tourists who want to take home a souvenir of their travels. Producers can sell tagines in markets all over Morocco. However, as demand has increased, many have chosen to sell in the areas visited by tourists, such as Marrakesh.

(b) With reference to the data above and your knowledge of economics, analyse how the equilibrium price of tagines sold to tourists is determined.

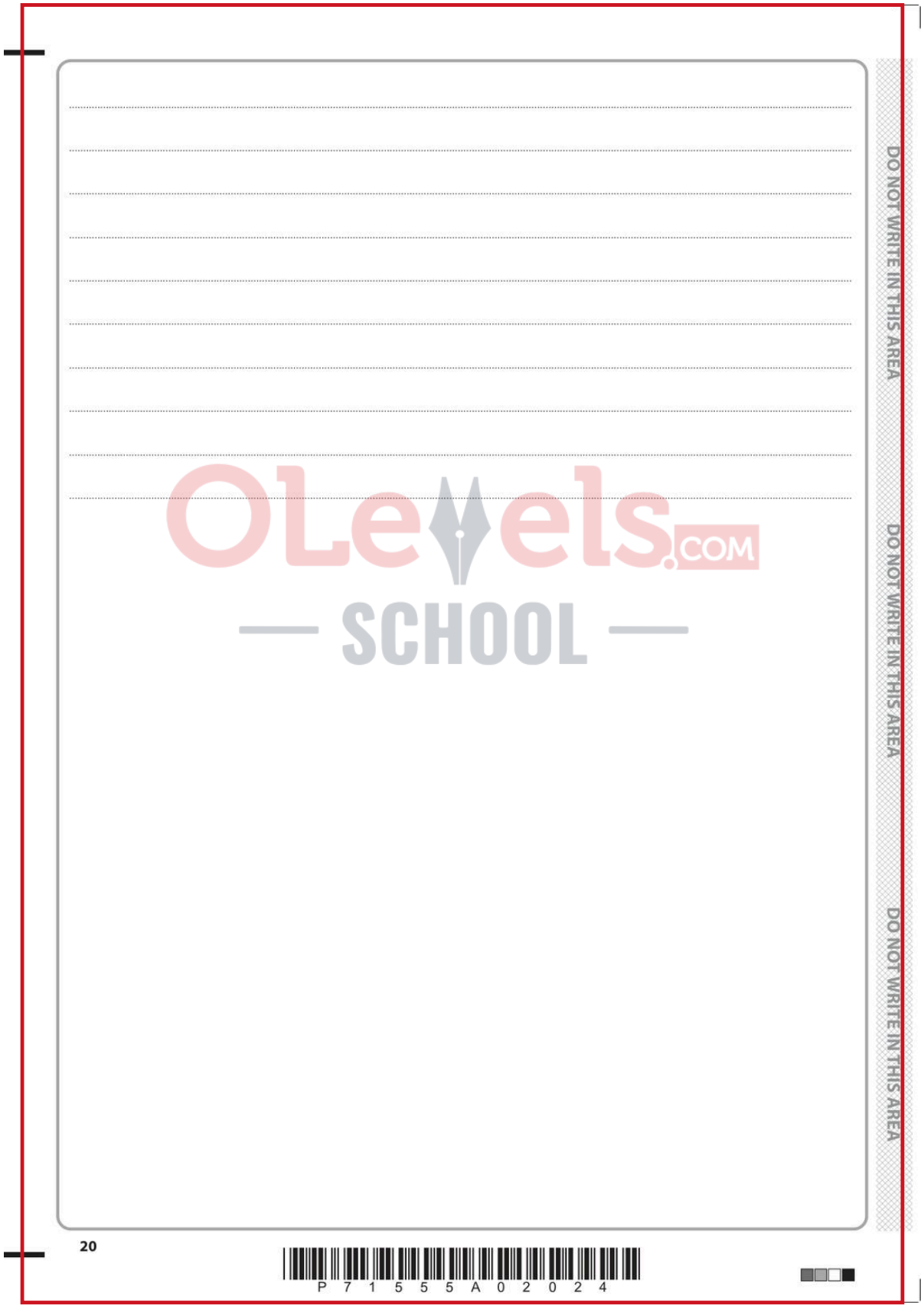
(6)

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4. Question 4 · part b · 6 marks

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Further practice · Attempt part b only.



4. Question 4 · part b · 6 marks

2023 JAN · Paper 01

Further practice · Attempt part b only.

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Dahab is a seaside town in Egypt. It is a popular destination for visitors from around the world as well as other parts of Egypt. Some visitors return many times in order to enjoy the relaxing atmosphere, beach-side restaurants and water sports.

There are a large number of restaurants competing for customers. Some specialise in certain types of food. Others offer discounts for regular visits or provide live entertainment.

(c) With reference to the data above and your knowledge of economics, evaluate the likely impact of competition on restaurant customers in Dahab.

(12)

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4. Question 4 · part b · 6 marks · Working and answer

Working and answer

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5. Question 2 · part a · 1 mark

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Further practice · Attempt part a only.

2 (a) Which **one** of the following would occur when there are unsold goods in a market?

(1)

- ☒ **A** Excess demand
- ☒ **B** Excess supply
- ☒ **C** Higher prices
- ☒ **D** Increased productivity

(b) Which **one** of the following statements is correct?

(1)

- ☒ **A** The supply curve is always vertical
- ☒ **B** Supply and price are not related
- ☒ **C** Quantity supplied will fall when price falls
- ☒ **D** An increase in price will shift the supply curve

(c) State the name for price elasticity of demand (PED) with a numerical value of –1.

(1)

A factory producing shoes calculated that quantity supplied decreased by 2.7% following a price decrease of 1.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for shoes. You are advised to show your working.

(2)

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5. Question 2 · part a · 1 mark · Working and answer

Working and answer

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6. Question 1 · part e · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part e only.

1 (a) A trade union is an organisation that aims to improve

(1)

- ☒ **A** profit margins
- ☒ **B** tax revenue
- ☒ **C** the environment
- ☒ **D** working conditions

(b) Figure 1 below shows a change in demand for tickets to a sporting event.

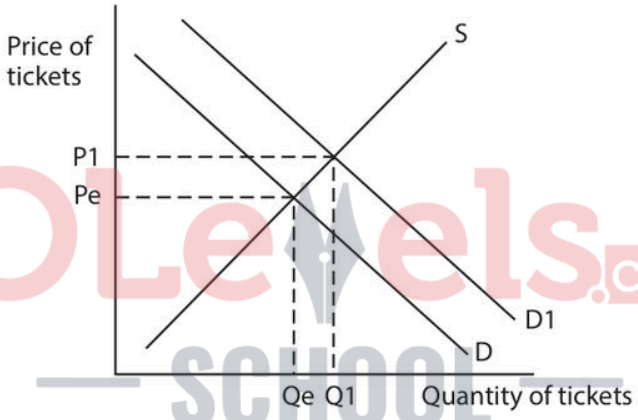


Figure 1

Which **one** of the following statements is true?

(1)

- ☒ **A** When the price falls, the quantity demanded falls
- ☒ **B** The demand curve slopes upwards from left to right
- ☒ **C** An increase in demand is shown by a shift to the right
- ☒ **D** A decrease in demand is shown by a shift to the right

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6. Question 1 · part e · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part e only.

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(c) What is meant by the term economies of scale?

(2)

(d) State **one** main feature of an oligopoly.

(1)

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(e) Define the term excess supply.

(1)

6. Question 1 · part e · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part e only.

A firm increases supply by 4.3% following a price increase of 3.7%.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

Figure 2 shows the market for electric cars.

(g) Using the diagram below, draw the likely effects on the market for electric cars following the introduction of a subsidy on electric cars. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

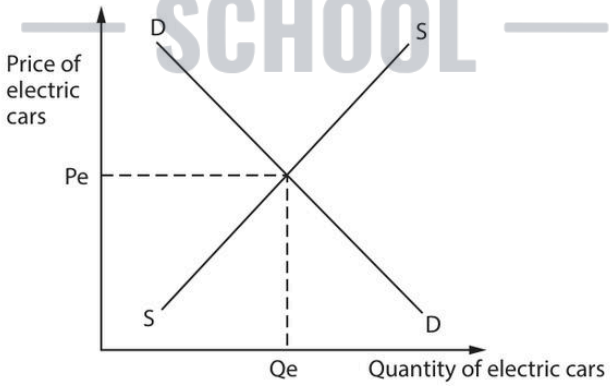


Figure 2

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P 7 3 4 9 8 A 0 4 2 4

6. Question 1 · part e · 1 mark · Working and answer

Working and answer

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7. Question 2 · part a · 1 mark

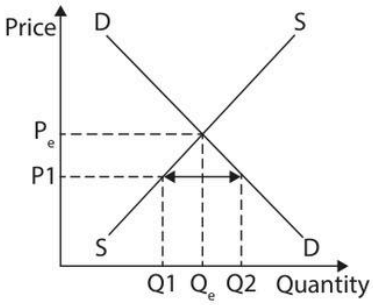
2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

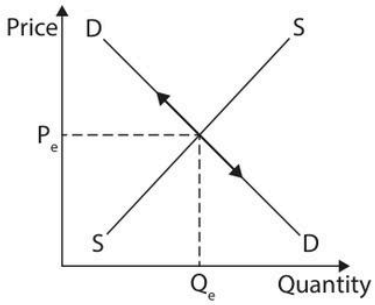
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

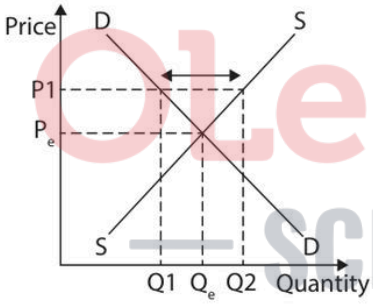
☒ **A**



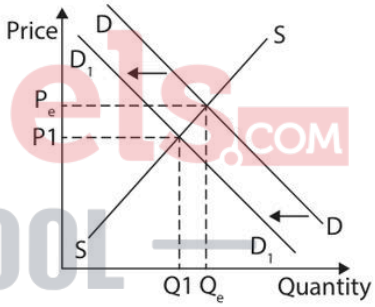
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of an oligopoly?

(1)

☒ **A** There is only one firm in the market

☒ **B** Firms always act independently

☒ **C** Different products are sold

☒ **D** No barriers to entry are present

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7. Question 2 · part a · 1 mark · Working and answer

Working and answer

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8. Question 2 · part a · 1 mark

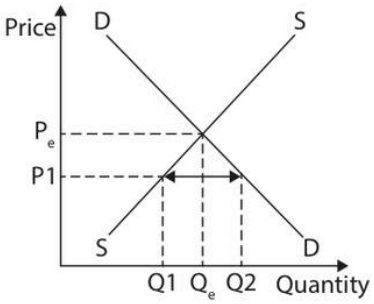
2024 JUN · Paper 01

Further practice · Attempt part a only.

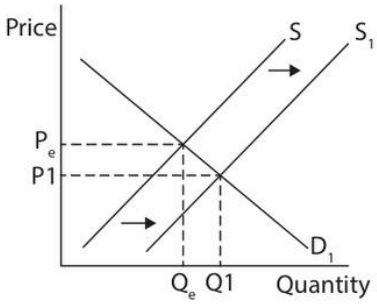
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

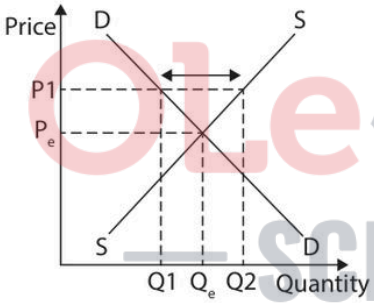
☒ **A**



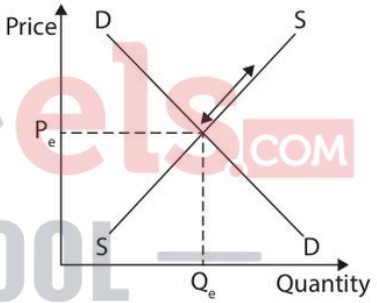
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of a monopoly?

(1)

☒ **A** Consumers have a choice of firms

☒ **B** There are many firms competing in the market

☒ **C** The firm is a price-maker

☒ **D** There are low barriers to entry

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8. Question 2 · part a · 1 mark · Working and answer

Working and answer

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9. Question 3 · part d · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

3 (a) Which **one** of the following could cause a shift in the demand curve for a product?

(1)

- ☒ **A** Costs of production
- ☒ **B** Quantity of the product available
- ☒ **C** Price of substitute goods
- ☒ **D** Subsidies

(b) Which **one** of the following is an example of an external cost?

(1)

- ☒ **A** Litter
- ☒ **B** Rent
- ☒ **C** Indirect tax
- ☒ **D** Vaccinations

(c) On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing country such as Nepal.

(3)

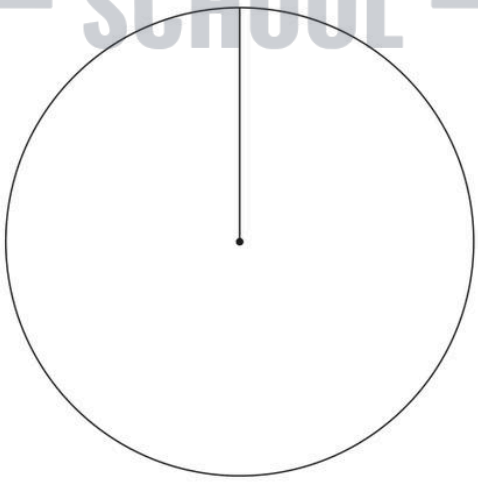


Figure 4

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9. Question 3 · part d · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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Figure 5 shows the excess demand for tickets at an event in Stockholm, Sweden, when the price of a ticket is 1 500 krona.

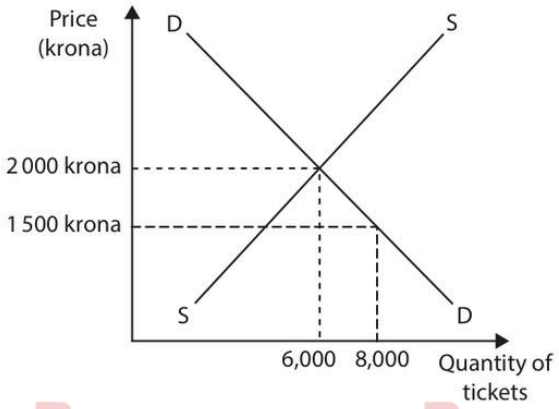


Figure 5

(d) With reference to the data above and your knowledge of economics, analyse how market forces should remove excess demand.

(6)

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9. Question 3 · part d · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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9. Question 3 · part d · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

In 2021, the Indonesian Government spent 9.4% of its budget on healthcare. By 2027, healthcare spending will more than double on a per capita basis from $114 to $269.

This increase is due to an improvement in Indonesia's economic growth. The growth is partly because more people in other countries want to buy goods and services made in Indonesia.

(e) With reference to the data above and your knowledge of economics, assess the benefits to Indonesia of the government increasing its healthcare spending.

(9)

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9. Question 3 · part d · 6 marks · Working and answer

Working and answer

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